



PROJECT MANAGEMENT

(217/502MAN) Week 1

PROJECT STAKEHOLDERS

Recognize the Importance of Project Stakeholders

- Project stakeholders are the people involved in or affected by project activities
- Project managers must take time to identify, understand, and manage relationships with all project stakeholders
- Senior executives are very important stakeholders

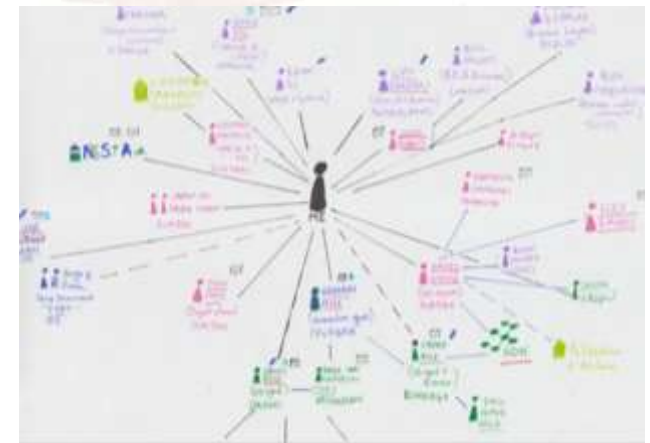
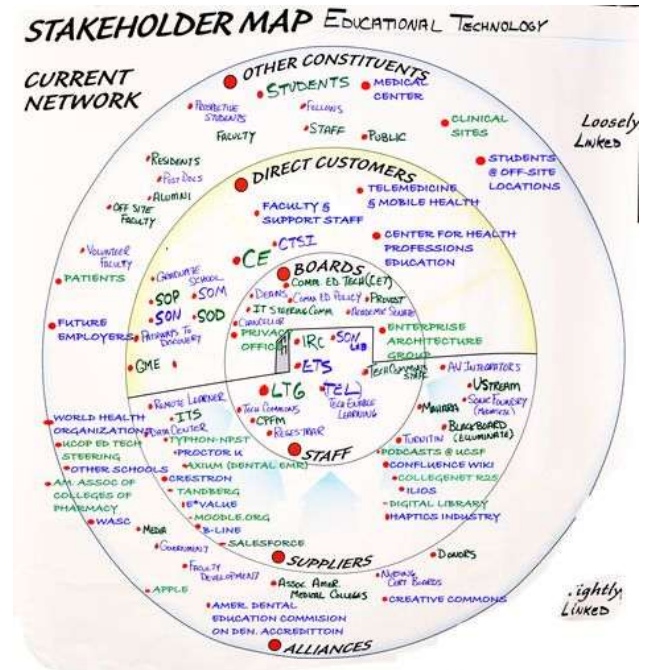
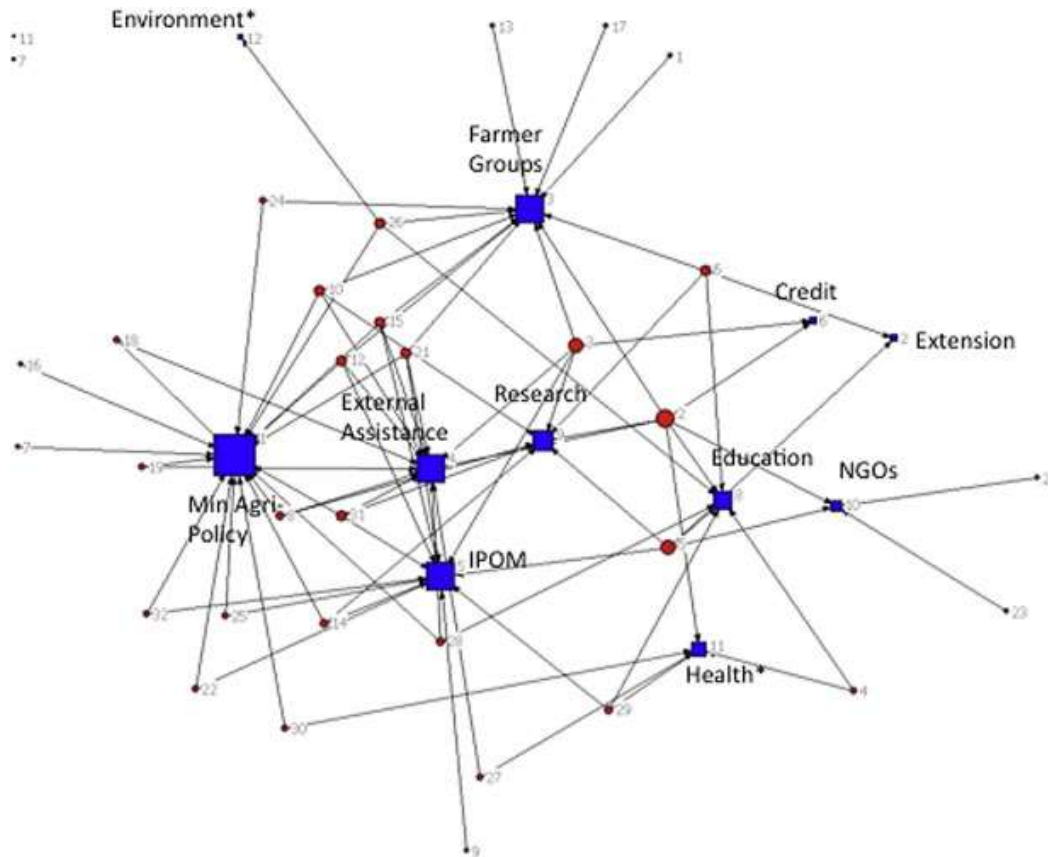
Project Stakeholders

Stakeholders are the people involved in or affected by project activities:

- the project sponsor and project team,
- support staff,
- Customers, audience,
- Users,
- Suppliers,
- opponents to the project,
- the customers,
- contractors and vendors,
- government regulatory agencies,
- labor unions,
- local community,
- nonprofit organizations,
- media,
- research centers,
- each person,
- natural environment.



Projekt stakeholders mapping



Importance of stakeholders

Stakeholders are more important than shareholders to long-term company success

Percent who ranked each group as most important

87%



How can stakeholders affect the project?

- **The project team** manages and completes project work.
- **Project managers** naturally compete with each other for resources and the support of top management. At the same time they often have to share resources and exchange information.
- **Administrative support groups**, such as human resources, information systems, purchasing agents, and maintenance, provide valuable support services. (At the same time they impose constraints and requirements on the project such as the documentation of expenditures and the timely and accurate delivery of information).

How can stakeholders affect the project?

Functional managers

- depending on how the project is organized, can play a minor or major role toward project success.
(In matrix arrangements, they may be responsible for assigning project personnel, resolving technical dilemmas, and overseeing the completion of significant segments of the project work.)

Top management

- approves funding of the project and establishes priorities within the organization.
- They define success and adjudicate (act to compete) rewards for accomplishments.
- Significant adjustments in budget, scope, and schedule typically need their approval.

How can stakeholders affect the project?

- **Project sponsors** champion the project and use their influence to gain approval of the project.
 - Their reputation is tied to the success of the project, and they need to be kept informed of any major developments.
 - They defend the project when it comes under attack and are a key project ally.

How can stakeholders affect the project?

- **Contractors** may do all the actual work, in some cases, with the project team merely coordinating their contributions. In other cases, they are responsible for ancillary segments of the project scope.
- **Government agencies** place constraints on project work.
For example: Permits need to be secured. Construction work has to be built to code. New drugs have to pass a rigorous battery of U.S. Food and Drug Administration tests. Other products have to meet safety standards, for example, Occupational Safety and Health Administration standards.

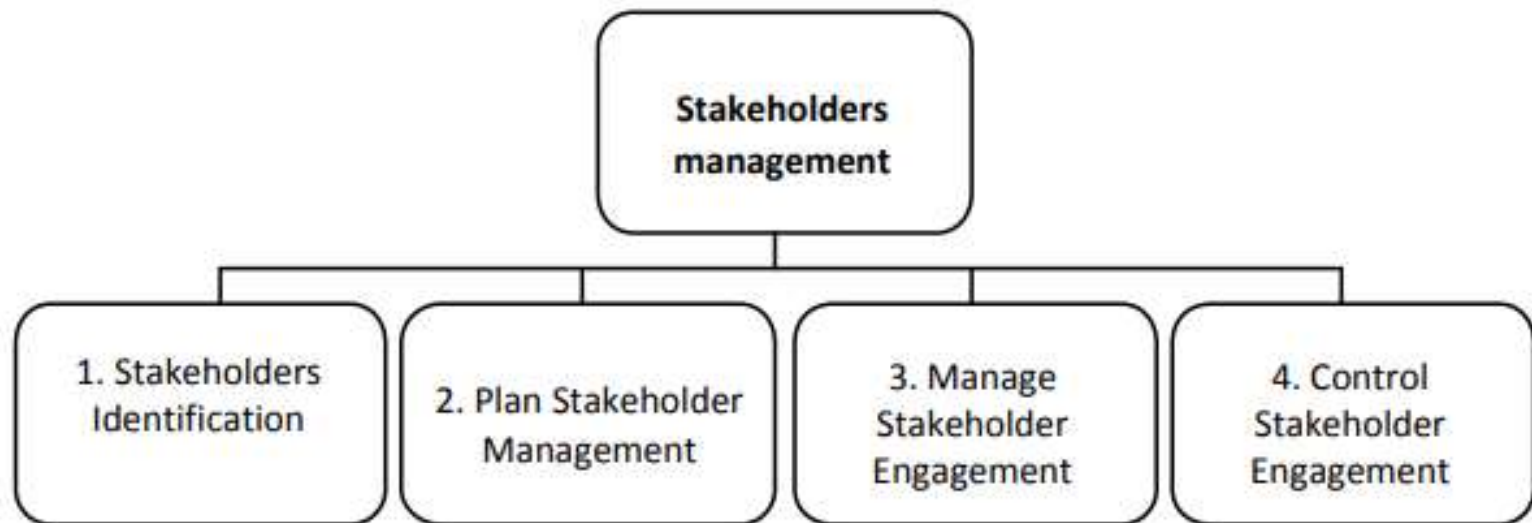
How can stakeholders affect the project?

- **Other organizations**, depending on the nature of the project, may directly or indirectly affect the project. For example,
 - suppliers provide necessary resources for completion of the project work.
 - Public interest groups may apply pressure on government agencies.
 - Customers often hire consultants and auditors to protect their interests on a project.
- **Customers** define the scope of the project, and ultimate project success rests in their satisfaction.
 - Project managers need to be responsive to changing customer needs and requirements and to meeting their expectations.

Benefits of managing relations with stakeholders:

- early recognition of all relevant factors that may affect the project
- early recognition of potential project opportunities and risks
- assessment of the effects of project implementation
- identification of connections with other projects? and tasks
- improving communication
- defining tasks positively / negatively affecting stakeholders
- diversity of opinions
- cheaper and easier access to knowledge and other resources
- potential cost sharing

Stakeholders' management processes



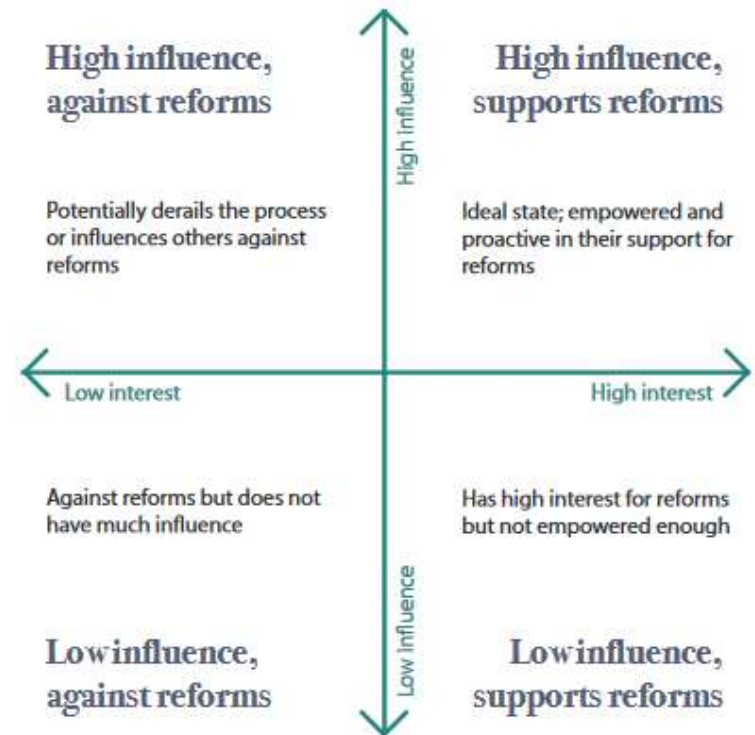
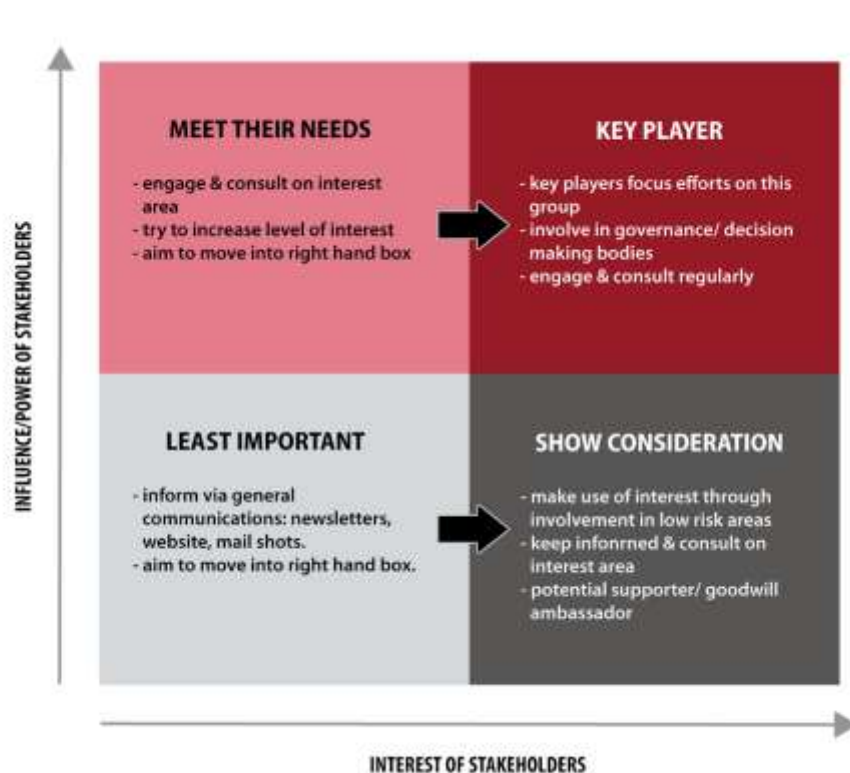
Source: PMI (2013)

Stakeholder engagement management

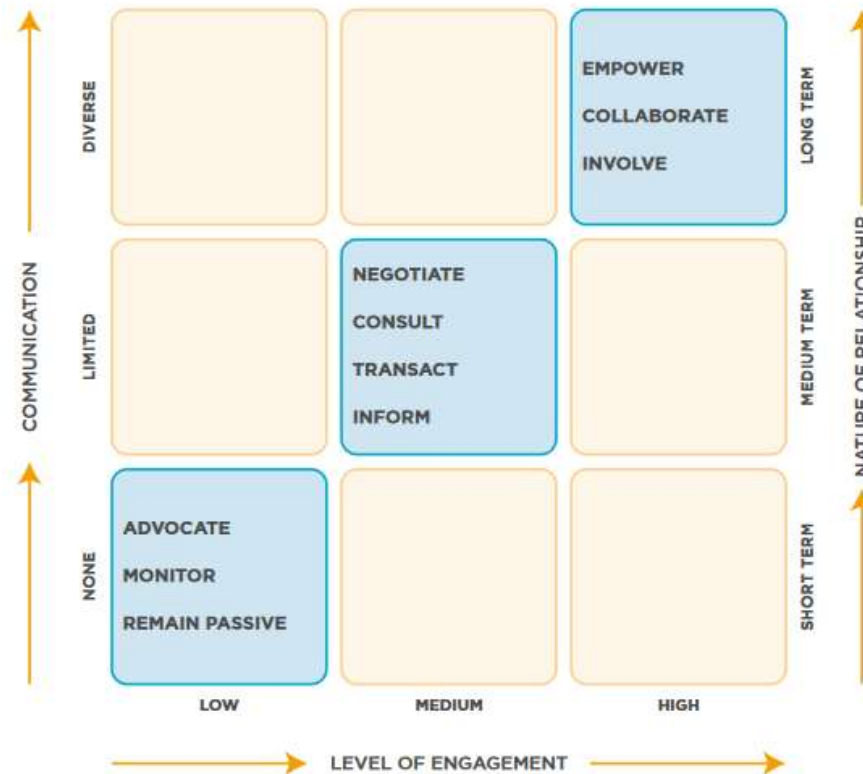


Figure 13: Five Stage Stakeholder Engagement Framework
Redrawn from: Krick et al. (2005, 11)

Stakeholder mapping - the power/interest matrix



Levels and Approaches to Stakeholder Engagement (A1000 Stakeholder Engagement Standard)



Advantage of stakeholder engagement:

- lead to more equitable and sustainable social development by giving those who have a right to be heard the opportunity to be considered in decision-making processes;
- help to determine material issues for sustainability management and reporting;
- enable better management of risk and reputation;
- allow for the pooling of resources (knowledge, people, money and technology) to solve problems and reach objectives that cannot be reached by single organisations.
- Enable understanding of complex operating environments, including market developments and cultural dynamics;
- enable learning from stakeholders, resulting in product and process improvements and innovations;
- inform, educate and influence stakeholders in ways that can improve their decisions and actions, which will, in turn, have an impact on the organisation and society;
- contribution to the development of trust-based and transparent stakeholder relationships.



Report

40 minutes

Activity title 6: Project Stakeholders
150 words report

Describe the activity: Watch the video and summarise the key factors.

https://www.youtube.com/watch?v=TSL5LtJjg_k



Activity

40 Minutes

Activity 7:

Activity title: Get to know your project stakeholders.

Time: 40 minutes (150-200 words report)

Describe the activity: Watch the video and describe activities of project stakeholders

<https://www.coursera.org/lecture/project-planning/3-1-lecture-riO6v>

Activity 8:

Based on the standard AA1000 Stakeholder Engagement Standard (SES)2015 and Stakeholder mapping - the power/interest matrix, prepare a stakeholder engagement management plan for your chosen project, starting with a stakeholder map.

AA1000 Stakeholder Engagement Standard (SES) 2015 ,
https://www.accountability.org/wp-content/uploads/2016/10/AA1000SES_2015.pdf

STARTING A PROJECT

PHASES OF PROJECT MANAGEMENT



Project Charter

[illegible]

First is WHY!

The Golden Circle

WHAT

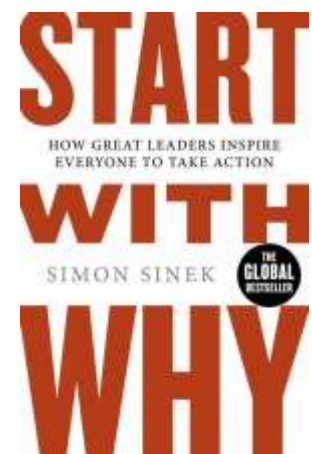
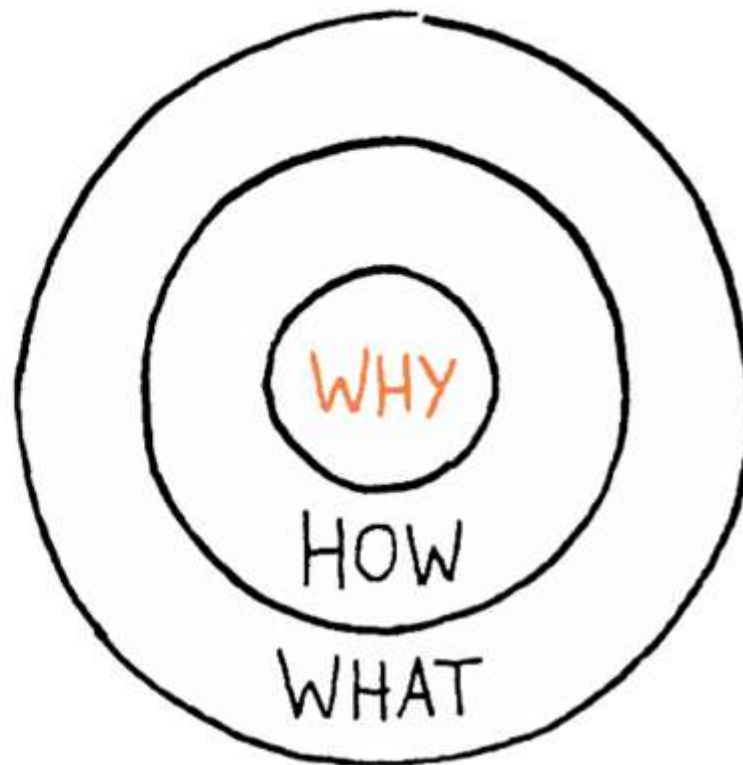
Every organization on the planet knows WHAT they do. These are products they sell or the services

HOW

Some organizations know HOW they do it. These are the things that make them special or set them apart from their competition.

WHY

Very few organizations know WHY they do what they do. WHY is not about making money. That's a result. WHY is a purpose, cause or belief. It's the very reason your organization exists.



5 Ws and an H.

What

What's the decision? What does it mean? What should I know? What's in it for me?

Why

Why is it the right decision? Why now? Why is it important?

Where

Where is this decision coming from? Where/what locations will it affect? Where can I get more information?

When

When is this happening?

How

How was the decision made? How will it be implemented? How will communications flow internally and externally? How does it impact me?

Who

Who made the decision? Who's in charge? Who does it impact?

In communicating your message, the order is important. Adult learners want to know the "what" first and then the "why." The rest can follow logically.

Which W or H do you most often forget to include when you communicate?

Setting SMART aims



5M's of Management:

- **Men:** For organizational effectiveness and efficiency, the right people are necessary for the right position.
 - Internal Stakeholders (Project Team)
- **Money:** Budget, motivation for employees, investment funding.
 - £116,500 inc. Contingency Funds
- **Minute:** Time management to optimise delivery.
 - 6 months (Feb – August 2020)
- **Machine:** Basic tools to produce goods or generate services. - Computers, Wi-Fi Modems, Internal Harddrives.
- **Materials:** Necessary for Project Team productivity. - Flyers for promotional activity and Launch party décor.

The **Business Model Canvas** is a strategic management template used for developing new business models and documenting existing ones. It offers a visual chart with elements describing a firm's or product's value proposition, infrastructure, customers and finances, assisting businesses to align their activities by illustrating potential trade-offs.

BMI • Business model canvas

● Key partners Who are your most important suppliers? Who are your most important distributors? Which are your most important suppliers?	● Key activities What activities are required to deliver your value proposition? What are the most important activities?	● Value propositions What value is your business offering to your customers? What are the most important value propositions? What are the most important value propositions? What are the most important value propositions?	● Customer relationships What kind of relationships do your customers expect? What are the most important relationships?	● Customer segments Who are your most important customers? What are the most important customer segments? What are the most important customer segments?
● Key resources What are the most important resources you need to deliver your value proposition? What are the most important resources?		● Channels How do you reach your customers? What are the most important channels? What are the most important channels?		
● Cost structure What are the most important costs you need to deliver your value proposition? What are the most important costs?		● Revenue streams How do you generate revenue from your value proposition? What are the most important revenue streams?		

Brought to you by Business Models Inc.

www.strategybox.com

Osterwalder, Alexander; Pigneur, Yves; Clark, Tim (2010). *Business Model Generation: A Handbook For Visionaries, Game Changers, and Challengers.*

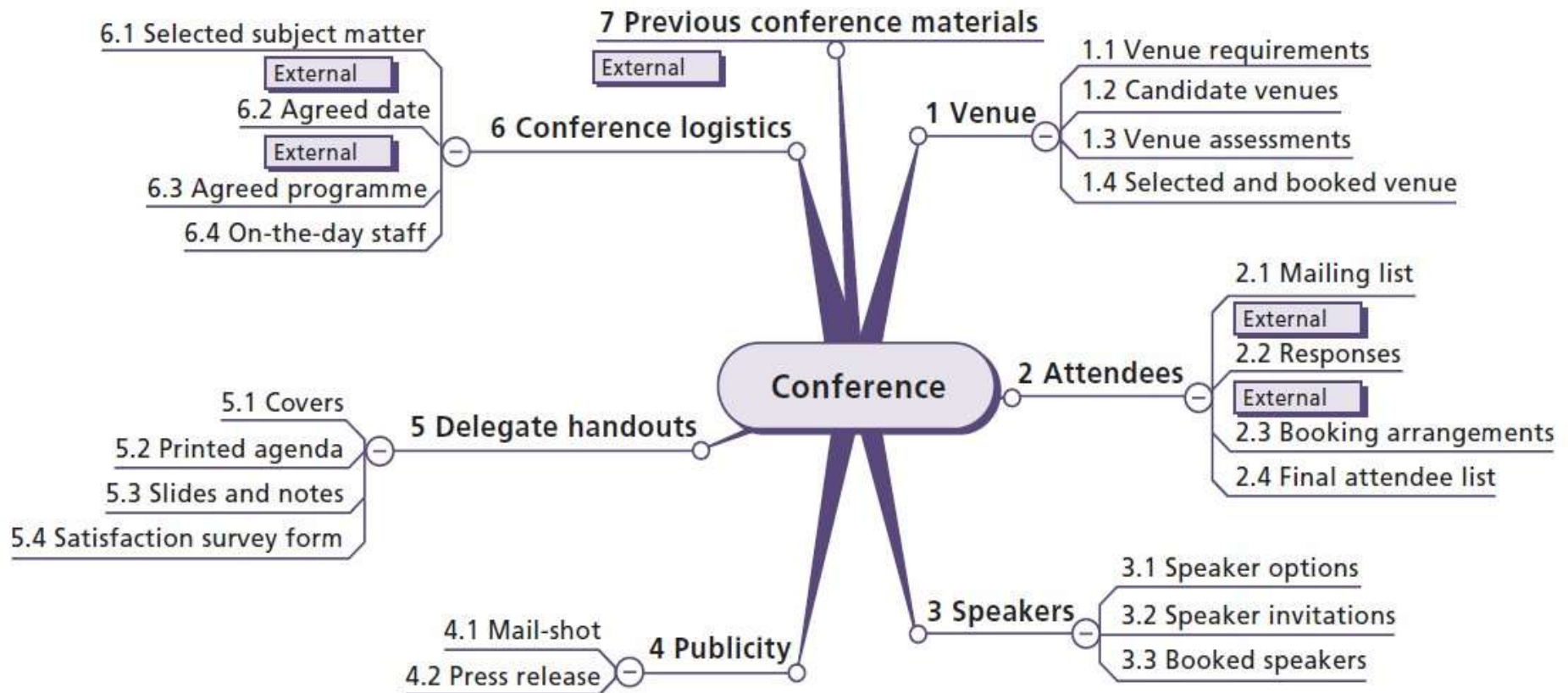


Figure D.2 Product breakdown structure in the form of a mindmap

The RACI model

The RACI model is a straightforward tool used for identifying roles and responsibilities and avoiding confusion over those roles and responsibilities during a project.

The acronym RACI stands for:

- Responsible:** The person who does the work to achieve the task. They have responsibility for getting the work done or decision made. As a rule this is one person; examples might be a business analyst, application developer or technical architect.
- Accountable:** The person who is accountable for the correct and thorough completion of the task. This must be one person and is often the project executive or project sponsor. This is the role that responsible is accountable to and approves their work.
- Consulted:** The people who provide information for the project and with whom there is two-way communication. This is usually several people, often subject matter experts.
- Informed:** The people kept informed of progress and with whom there is one-way communication. These are people that are affected by the outcome of the tasks, so need to be kept up-to-date.

The RACI model – graphic example

Step	Project Initiation	Project Executive	Project Manager	Business Analyst	Technical Architect	Application Developers
1	Task 1	C	A/R	C	I	I
2	Task 2	A	I	R	C	I
3	Task 3	A	I	R	C	I
4	Task 4	C	A	I	R	I



Creating a RACI Matrix (step-by-step)

1. Identify all the tasks involved in delivering the project and list them on the left-hand side of the chart in completion order.
2. Identify all the project roles and list them along the top of the chart.
3. Complete the cells of the chart identifying who has the responsibility, the accountability and who will be consulted and informed for each task.
4. Ensure every task has a role responsible and a role accountable for it.
5. No tasks should have more than one role accountable. Resolve any conflicts where there is more than one for a particular task.
6. Share, discuss and agree on the RACI Matrix with your stakeholders *before* your project starts.

RACI Matrix – other versions

A variation of RACI used by the Project Management Institute (PMI) is **RSI**, responsible, sponsor and informed.

Other variations are:

- **RASCI**: with the 'S' standing for 'Support'
- **RACIO**: with the 'O' standing for 'Out of the Loop' or 'Omitted'
- **RACI-VS**: with the 'V' standing for 'Verify' and the 'S' for 'Signatory'

Activity 9: Project Scope/Charter

Plan basic activities and areas of the project by completing project Scope/Charter. Scope templet is published on Aula.

What to read...

Required Reading:

1. Lock, Dennis. *Project Management*, Taylor & Francis Group, 2013. *ProQuest Ebook Central*,
<https://ebookcentral.proquest.com/lib/coventry/detail.action?docID=1139931>.
2. *A Guide to the Project Management Body of Knowledge (PMBOK® Guide)*, Project Management Institute, 2017. *ProQuest Ebook Central*,
<https://ebookcentral.proquest.com/lib/coventry/detail.action?docID=5180849>.
[ProQuest Ebook Central - Detail page](#)
3. Harvard Business Review Magazine
<https://search.ebscohost.com/login.aspx?direct=true&AuthType=ip,sso&db=bth&jid=HBR&site=ehost-live&authtype=sso&custid=s9872838>



Recommended Reading:

1. Kerzner, Harold, and Harold R. Kerzner. *Project Management : Case Studies*, John Wiley & Sons, Incorporated, 2013. *ProQuest Ebook Central*,
<https://ebookcentral.proquest.com/lib/coventry/detail.action?docID=1108715>
2. Maltzman, Richard, and David Shirley. *Green Project Management*, Taylor & Francis Group, 2010. *ProQuest Ebook Central*,
<https://ebookcentral.proquest.com/lib/coventry/detail.action?docID=981568>
3. Vanzant, Stern, Terra. *Lean and Agile Project Management : How to Make Any Project Better, Faster, and More Cost Effective, Second Edition*, Productivity Press, 2020. *ProQuest Ebook Central*, <https://ebookcentral.proquest.com/lib/coventry/detail.action?docID=6187380>
4. CMI Website : Management Direct
5. Kerzner, H. (2017) *Project Management: A Systems Approach to Planning, Scheduling, and Controlling*. 12th edn. Hoboken: Wiley
6. Newton, R. (2009) *Project Manager: Mastering the Art of Delivery*. 2nd edn. Harlow: Pearson
7. Westland, J. (2007) *The Project Management Life Cycle*. London: Kogan Page
8. Wysocki, R. (2014) *Effective Project Management: Traditional, Agile, Extreme*. 7th edn. Hoboken: Wiley
9. Kerzner, Harold. *Project Management : A Systems Approach to Planning, Scheduling, and Controlling*. Twelfth ed. 2017. Web.
https://locate.coventry.ac.uk/permalink/f/1keob46/COV_ALMA5183747500002011